BUSINESS PLAN · CONFIDENTIAL DRAFT

Yumi Music

Helping Papua New Guinean artists earn money directly from their supporters

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1. Executive Summary

Yumi Music is a mobile-first platform that helps Papua New Guinean musicians and performers earn sustainable income directly from the people who support them. It combines music sales, direct fan support (tipping), recurring fan-club memberships, event ticketing, and business sponsorships into a single artist-first product — not a streaming service, and not a generic payments app.

PNG's creative economy is large and culturally significant but structurally underpaid: touring is expensive, radio and streaming royalties rarely reach local artists, and there is no trusted local infrastructure for fans or businesses to pay artists directly. Meanwhile, mobile money (Digicel) and bank transfer rails (BSP, Kina Bank) already reach the majority of the population, and creator-economy models proven abroad (Patreon, Bandcamp, Kickstarter, Eventbrite) have not been localized for PNG payment rails, connectivity, or currency (Kina/PGK).

NORTH STAR METRIC

Total Kina Earned By Artists

Every product surface — homepage, artist profile, dashboard — is built to grow this number, not watch time or stream counts.

Yumi Music takes a platform fee (modelled at 15%) on all transactions, giving artists 85% of everything paid to them directly, with transparent, itemized receipts on every purchase. At scale, this business is a two-sided marketplace with a third supply side (event and sponsorship revenue) layered on top, similar in shape to Patreon (memberships), Bandcamp (direct sales), Eventbrite (ticketing) and Kickstarter (campaign-style fundraising) — combined for a single-country, mobile-money-first market.

2. Problem & Opportunity

2.1 The problem

- **Artists are underpaid.** Streaming and radio royalties are negligible in PNG; most working musicians earn through live performance and word-of-mouth sales of physical media or informal digital transfers.
- **No trusted direct-payment rail.** Fans who want to support an artist directly have no simple, safe way to do it — payments happen informally via mobile money to a personal number, with no receipt, no fee transparency, and no relationship built afterward.
- **Event and merchandise sales are manual.** Ticketing is often cash-only at the door; there is no way to see remaining capacity, pre-sell, or reach fans outside the artist's immediate province.
- **Sponsorship is relationship-based and opaque.** Businesses that want to sponsor artists (Independence Day events, corporate launches) rely on personal networks; there's no marketplace to post a paid opportunity and receive applications.

2.2 The opportunity

Global creator-economy platforms have proven that **direct fan-to-creator payment** — memberships, tips, and exclusive content — can out-earn ad- or stream-based models for a creator's core supporter base. No incumbent has localized this for PNG's mobile money infrastructure, Kina-denominated pricing, and offline-tolerant, data-conscious usage patterns. Being first with a trustworthy, artist-first brand is a durable advantage.

3. Mission, Vision & Values

Mission	Help Papua New Guinean artists earn money directly from their supporters.
Vision	Every working PNG artist has a sustainable, diversified income built from their own fanbase — not dependent on radio play, streaming

Vision	from their own fanbase — not dependent on radio play, streaming royalties, or informal cash arrangements.
Values	Artist-first · Transparent · Community-driven · Trustworthy · Proudly PNG · Empowering creators

4. Market Overview

4.1 Market sizing (illustrative — validate before investor use)

Layer	Estimate	Basis
PNG population	~10.3M	National census / UN estimates
Mobile connections	~5.5–6M	Digicel + Telikom + Vodafone PNG combined SIMs
Smartphone / mobile internet users	~1.5–2M	GSMA / DataReportal, low-bandwidth-skewed
Addressable "supporter" fans in year 1–3	80K–250K	Urban centers: Port Moresby, Lae, Mt Hagen, Goroka, Kokopo
Working/semi-professional PNG artists	2,000–5,000	String bands, gospel groups, solo artists, reggae/hip-hop acts across provinces

4.2 Payment rail readiness

Digicel mobile money (Digicel PNG's wallet product) is the most widely held digital payment instrument in the country, followed by BSP and Kina Bank retail accounts. Card penetration is comparatively low and concentrated in Port Moresby and Lae. This ordering directly informs both product design (mobile money is the default/first payment option throughout Yumi Music) and technical integration priority (Section 10).

4.3 Comparable models

Platform	What we borrow	What we localize
Patreon	Recurring membership tiers, exclusive content	Kina pricing, mobile-money billing (card-based recurring billing is unreliable locally — see 9.4)
Bandcamp	Direct-to-fan music sales, generous artist revenue share	Small per-track/album prices in Kina; offline-friendly downloads
Eventbrite	Ticketing, capacity tracking, event discovery	Cash-at-door reconciliation tools, low-data event pages
Kickstarter	Campaign-style fundraising with a visible goal	Always-on "help fund my album" campaigns tied to an artist's permanent profile, not one-off projects

5. Users & Personas

Fans — Discover artists, buy music, support financially, attend events, join fan clubs. Primary motivation: feeling directly connected to and

responsible for an artist's success. Price-sensitive; mobile-money-first; intermittent connectivity.

Artists — Upload music, earn income, sell tickets, receive tips, build memberships, find sponsors. Primary motivation: turning music into a livable, diversified income without needing a label or manager. Ranges from solo bedroom artists to established string bands and touring acts.

Businesses / Sponsors — Sponsor artists, book performers, promote events. Primary motivation: authentic association with popular local artists for brand campaigns, product launches, and national celebrations (e.g. Independence Day).

6. Product Overview

The product is organized around one artist profile that can be monetized five different ways, and a dashboard that makes all of it legible to the artist in Kina terms. A working prototype of every screen below exists as an interactive design.

Surface	Core job
Home	Discovery via trending artists, new releases, fundraising campaigns, most-supported artists, and the platform-wide "Total Kina Earned" counter
Discover Artists	Search/browse by genre, province, verification status
Artist Profile	Banner, stats (supporters / total earnings / songs / events), music grid, events, fan club tiers, fundraising campaign, merch
Song Purchase	Preview, buy, visible artist/platform revenue split before checkout
Fan Support Flow	Preset + custom Kina amounts tied to concrete impact messaging ("K20 helps fund music video production")
Events Marketplace	Search by location/date/genre; ticket cards show remaining inventory
Fan Club	Tiered recurring memberships (Silver/Gold/VIP) with early releases, unreleased songs, private livestreams, merch discounts
Sponsor Marketplace	Businesses post paid briefs; artists apply with their profile as portfolio; business-side applicant/shortlist/messaging dashboard
Artist Dashboard	Total earnings (month/lifetime), revenue breakdown by source, transaction history, withdrawal balance, payout requests
Messages	Booking requests with the offer amount attached, acceptable in one tap

Mobile-first requirements: bottom navigation (Home / Discover / Events / Messages / Profile), minimum 44px touch targets, fast first paint on 3G-class connections, and graceful degradation when offline (cached artist pages, queued/retryable payments).

7. Revenue Model

7. Revenue Model

Yumi Music is a take-rate marketplace. The platform does not charge artists to join, list music, or run a fan club — revenue comes from a percentage of money that moves through the platform.

Stream	Platform fee (modelled)	Notes
Music sales (singles/albums/EPs)	15%	Artist keeps 85%, shown on every purchase screen
Fan support / tips	15%	Impact-framed presets (K5/K10/K20/K50 + custom)
Fan-club memberships	15%	Recurring monthly; lower blended cost via batched payout processing
Ticket sales	10–12%	Slightly lower to stay competitive with door/cash sales and encourage pre-sale adoption
Sponsorships	10%	Charged to the business side of the booking, not deducted from the artist's fee
Featured placement (optional, phase 2)	Flat fee	Paid promotion slot on Home / Discover for artists running a campaign or event, clearly labeled "Featured"

Design principle: every screen that takes a payment shows the artist/platform split before the fan confirms — transparency is a brand value, not a compliance afterthought.

8. Financial Plan

All figures below are illustrative planning assumptions for internal modelling, denominated in PGK (Kina), and should be re-validated with real cohort data before external investor use.

8.1 Key assumptions

Assumption	Year 1	Year 2	Year 3
Active supporting fans	15,000	60,000	150,000
Active earning artists	400	1,200	2,500
Avg. monthly spend per active fan	K12	K16	K20
Gross Kina moved through platform (annual)	K2.16M	K11.5M	K36M
Blended platform take rate	~13%	~13.5%	~14%
Platform revenue	~K281K	~K1.55M	~K5.0M

8.2 Cost structure (year 1, illustrative)

	% of

Category	% Of spend	Notes
Engineering & product (4–6 FTE)	45%	Mobile-first web app, dashboard, payments integration
Payment processing fees	15%	Digicel mobile money + bank transfer + card gateway fees, passed through at cost
Hosting & infrastructure	5%	See Section 10 for detail
Artist success & community (onboarding, support)	15%	Field agents in Port Moresby, Lae, Highlands region
Marketing & artist acquisition	12%	Local events, radio, artist referral incentives
Trust, safety & compliance	4%	KYC tooling, dispute handling, legal
G&A	4%	—

8.3 Unit economics (illustrative, single fan-club membership)

Membership price	`K25/month (Gold tier)`
Platform fee (15%)	`K3.75`
Payment processing cost (~3%)	`K0.75`
Net platform margin per membership/month	`K3.00`
Artist receives	`K21.25`

8.4 Path to profitability

Fixed costs (engineering, trust & safety tooling, core hosting) are largely flat with scale; the marginal cost per transaction is payment processing plus a small compute/storage cost. Breakeven is modelled around ~1,200 active earning artists at Year 2 assumptions, driven primarily by recurring fan-club membership revenue, which is the most predictable and highest-margin stream.

9. Payments & Payouts

9.1 Fan-facing payment methods

1. **Digicel mobile money** (default, shown first at checkout) — pays from phone credit/wallet, no bank account required.
2. **Bank transfer** — BSP and Kina Bank direct debit/transfer, for fans and businesses with bank accounts.
3. **Debit/credit card** — Visa/Mastercard, primarily for the smaller urban and diaspora fan segment.

9.2 Artist payouts

Artist earnings accrue to an in-app balance ("Available to withdraw") after a short holding period (recommended: 48–72 hours, to cover chargebacks/refund windows). Artists request payout to a linked BSP/Kina Bank account or Digicel mobile money number; payouts batch on a weekly cycle by default, with an optional instant-payout fee for artists who need funds sooner (a common creator-platform pattern that also generates incremental revenue).

9.3 Escrow & sponsorships

Sponsorship payments from businesses are held in escrow until the booked performance/event date passes (or a milestone is confirmed), then released to the artist minus the platform fee — protecting both sides of a marketplace transaction neither party has done before.

9.4 Why mobile-money-first, not card-first recurring billing

Card-based recurring billing (the default in Western creator platforms) assumes card penetration and reliable card-on-file billing that does not hold in PNG. Fan-club memberships are instead billed as a recurring mobile-money/bank charge with an explicit monthly confirmation flow, trading a small amount of billing friction for dramatically higher payment success rates.

9.5 Fraud & dispute handling

- Velocity limits on new-account tipping and campaign contributions.
- Manual review queue for high-value sponsorship escrow releases.
- A visible, artist-and-fan-facing dispute/refund process for undelivered digital goods or cancelled events.

10. Technology & Infrastructure

10.1 Architecture overview

Yumi Music is built as a mobile-first Progressive Web App (PWA) with native-app wrappers (iOS/Android) planned once usage justifies app-store distribution. A PWA-first approach avoids app-store friction and large download sizes in a low-bandwidth market, while still supporting installable home-screen icons, push notifications, and offline caching.

Layer	Recommendation	Rationale
Frontend	React-based mobile-first web app, server-rendered for fast first paint	Fast on 3G, works across low-end Android devices which dominate the PNG market
Backend / API	Managed cloud application platform (containerized services) with a regional edge close to Australia/Asia-Pacific (nearest low-latency region to PNG)	PNG has no major hyperscaler region of its own; Sydney/Australia region is the lowest-latency practical choice

Database	Managed relational database (e.g. Postgres) for transactional data (earnings, payouts, memberships) + a document/object store for media metadata	Financial data needs strong consistency; content metadata is more flexible
Object storage & CDN	Cloud object storage (S3-compatible) for audio/image files, fronted by a CDN with edge caching in Australia/Asia-Pacific PoPs	Music and cover art are the heaviest assets; CDN caching materially reduces data cost for fans on mobile data plans
Media delivery	Adaptive-bitrate audio streaming for previews (low-bitrate default), full-quality download only on purchase	Minimizes data usage for browsing/discovery, respecting data-cost sensitivity
Payments integration	Direct API integrations with Digicel mobile money and BSP/Kina Bank where available; a licensed local payment aggregator as fallback/primary if direct integration is unavailable at launch	PNG payment APIs are less standardized than global card rails; an aggregator de-risks initial integration timeline
Push & messaging	Web push + SMS fallback for booking/payout notifications	SMS remains a reliable channel when data connectivity is intermittent

10.2 Offline & low-bandwidth patterns

- **Cached artist pages:** service-worker caching of recently viewed artist profiles and the fan's own dashboard for offline viewing.
- **Queued payments:** a support/tip/purchase initiated with a weak connection is queued locally and retried automatically, with a clear "pending — will complete when back online" state (never a silent failure).
- **Data-saver mode:** a toggle that disables autoplay previews and loads low-resolution images by default.
- **Lightweight first load:** critical-path CSS/JS budget targeted under ~150KB gzipped for the home screen.

10.3 Security & reliability

- PCI-DSS-aligned handling for any card data (tokenized via the payment processor; Yumi Music never stores raw card numbers).
- Encryption in transit (TLS) and at rest for all stored financial and personal data.
- Automated daily backups of the transactional database with point-in-time recovery; media assets replicated across at least two storage regions.
- Role-based access control for internal tooling (support staff cannot see full payment credentials; only aggregated transaction records).
- Target uptime SLA: 99.5% for the core app, with graceful read-only degradation (browsing works even if payments are temporarily down).

10.4 Hosting cost shape

At Year 1 scale (Section 8.1), hosting/infrastructure is modelled at roughly 5% of total

spend: primarily CDN egress for audio/image delivery, compute for the API layer, and managed database costs. Storage cost scales with catalog size (audio masters + cover art), not with fan count, so it grows predictably as artists onboard rather than as usage spikes.

11. Trust, Safety & Compliance

- **Artist verification (KYC):** ID + bank/mobile-money account ownership verification before an artist can receive payouts, to prevent impersonation and payout fraud.
- **Content rights:** artists attest to owning or licensing uploaded music; a takedown process handles disputes.
- **Tax & reporting:** transaction records exportable per artist to support PNG income tax self-reporting; Yumi Music does not withhold tax on artists' behalf at launch, but discloses this clearly.
- **Data privacy:** fan personal and payment data handled under a stated privacy policy aligned with general data-protection best practice, given PNG's evolving data-protection framework.
- **Content moderation:** community reporting on profiles/messages, human review for sponsorship briefs and public campaign copy.

12. Go-to-Market Strategy

1. **Seed with anchor artists.** Recruit a small cohort of respected, already-popular PNG artists (string band, gospel, PNG reggae, hip hop) to launch with real fan bases and real earnings from day one.
2. **Province-by-province rollout.** Start in Port Moresby and Lae (highest connectivity and artist density), then expand to Highlands provinces (Goroka, Mt Hagen) and New Guinea Islands (Rabaul, Kokopo).
3. **Event-led acquisition.** Use Independence Day and other major cultural events as launch moments for ticketing and sponsorship features, when attention and sponsorship budgets are naturally highest.
4. **Artist referral incentives.** Artists earn a small bonus for referring other artists who reach an earnings milestone, turning the artist base into the primary acquisition channel.
5. **Business/sponsor outreach.** Direct sales to telcos, banks, and consumer brands (Digicel, BSP, Kina Bank, Trukai) already active in cultural sponsorship, positioning Yumi Music as a transparent, accountable sponsorship channel.

13. Operations & Team

Function	Year 1 need

Function	Year 1 need
Product & engineering	4–6 FTE: full-stack, mobile/PWA, payments integration
Artist success	2–3 field agents based in Port Moresby and Lae, onboarding and supporting artists in person
Trust & safety / support	1–2 FTE handling KYC review, disputes, fan/artist support
Marketing & partnerships	1–2 FTE for events, sponsor relationships, artist acquisition
Finance & compliance	1 FTE plus outside accounting/legal counsel familiar with PNG tax and payments regulation

14. Risks & Mitigations

Risk	Mitigation
Payment rail integration delays	Launch via a licensed local payment aggregator while pursuing direct Digicel/bank integration in parallel
Low fan willingness/ability to pay	Very low price floors (K5 tips, K10 memberships) and impact-framed messaging to lower the psychological barrier to a first payment
Artist trust / "will I actually get paid"	Transparent fee display on every transaction, fast weekly payouts, public earnings badges that prove real money is flowing
Connectivity gaps outside major towns	Offline caching, SMS fallback notifications, data-saver mode (Section 10.2)
Fraud (fake artists, fake sponsorship briefs)	KYC on payout accounts, human review on sponsorship postings and high-value escrow releases
Competitive entry by a global platform	Local payment rails, in-person artist relationships, and PNG-specific trust cannot be replicated quickly by an outside entrant

15. Roadmap

Phase	Focus